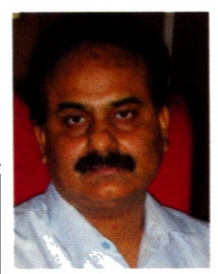




A Navratna of Maharashtra

MAHAVITARAN has formulated a huge infrastructural plan of about 9000 cores to be completed by 2010. It is estimated that by the year 2012 it'll achieve break-even in the demand and supply gap of the power scenario of our state of Maharashtra.



*Dr. Ajay Bhushan Pandey
Managing Director*

"The first time ever that MAHAVITARAN had their coffers clinging with profit was during the year 2007 - 08. A profit of Rs.117 crore"

The erstwhile Maharashtra State Electricity Board (MSEB) was de merged and made it into four companies to take care of the electricity need of the state and bring more efficiency and accountability. Thus, Maharashtra State Electricity Distribution Company Limited (MSEDCL) came into existence on June 6, 2005. MSEDCL is popularly known as 'Mahavitran' and also as 'Mahadiscom' which is solely responsible for electricity distribution in the state.

MSEDCL is the largest electricity distribution company with a turnover of Rs. 21,278 crores and employing around 64000 employees catering to 1.56 crores of consumers across the state.

The major task in hand was to reduce the distribution loss that was pegged at 32% during the formative years, recalls Dr Ajay Bhushan Pandey, Managing Director - MSEDCL. The company even set up multi level task team to bring it down by easing high tariff pressure from the users. As a result, the distribution loss was brought down to 24% by 2007-08 within just three years. This was a remarkable achievement as the company was only in its third year of operation and it was also made possible only because of the whole hearted support of its employees, affirms Dr. Pandey.

Distribution loss was caused mainly due to Commercial loss and Technical loss. Commercial losses resulted out of theft of



electricity, Wrong billing and Meter manipulation. Inadequate infrastructure and overloaded networks were responsible for technical losses.

The challenges for MSEDCL then were to reduce the huge burden of distribution loss, improve its infrastructure, motivate employees, better customer service, and reduce the power shortage. For this a comprehensive plan was carried out.

An Anti Power Theft Drive was established with an addition of 120 squads by MAHAVITARAN. Each headed by a Dy. Executive Engineer, armed with 50 - 70 member squads had the task to sniff out the theft from amongst 10000 consumers. There are six dedicated police stations set up to deal with cases of theft of power. During April - September 2008 there were around 36,383 cases registered which resulted to a recovery of Rs. 25 crores.

A simple technique of photo meter reading was introduced in the billing system.

"Photo meter reading has not only brought in more accountability amongst the staff but also reduced a huge amount of complaints" confirms Dr. Pandey.

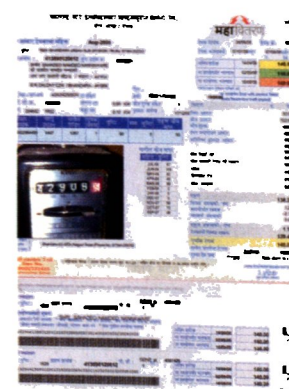


Photo meter reading

So far, 101.4 lakh consumers have been achieved by the end of September 2008. MSEDCL has also shifted all meters to the conspicuous front of the buildings. A state of the art IT centre was set up to track each and every consumer. With the help of this new system, a possible list of consumers based on their connected load viz a viz actual consumption was prepared. In a massive drive against defaulters conducted in September 08, about 1.38 Lakh consumers were disconnected in the first 3 weeks itself which in turn helped in recovering Rs. 53 crores.

Distribution Losses reduced by 5.41% during 2007 - 08. MSEDCL has achieved the difficult feat of reducing the distribution losses by 5.41% in a single year.

The yearwise breakup of loss reduction:

Year	% reduction of losses
2005 - 2006	3.16 (34.88 - 31.72)
2006 - 2007	2.22 (31.72 - 29.50)
2007 - 2008	5.41 (29.50 - 24.09)